

KOREA 2014

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

Unemployed persons are covered by the employment insurance to which employers and employees contribute. As a last-resort benefit, social assistance is also provided under the National Basic Livelihood Security (NBLS) System which guarantees basic livelihood and supports self-reliance for all those with incomes below the minimum cost of living, the official poverty line, regardless of their working ability.

All net incomes, replacement rates and other figures in this report are based on the Korean tax and benefit system in effect as July 2014.

1.1 Average Worker wage (AW)

The national currency is Korean Won (KRW). In 2014, an average worker (broadened new definition) is expected to earn KRW 39 781 075.14¹.

1. AW refers to the Average Worker estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part 5, sections 2 and 3

2. Unemployment insurance

Unemployment benefits can be categorized into two, namely job-seeking allowance and employment promotion allowance.

- *Job- Seeking Allowance*: provides cash payments to maintain the worker's standard of living and to facilitate their re-employment.
- Employment Promotion Allowance, split into:
 - Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job, for those who get a steady² job earlier than the given benefit duration; it amounts to one-third to two-thirds of Basic Allowance for the residual days.
 - Job Abilities Development Allowance is paid to those who take training from vocational training institutes under the direction of the Employment Security Office.
 - Wide-area Jobseeking Allowance is paid to those who are seeking jobs 50 km away from their residence referred by the Employment Security Office.
 - Moving expenses are paid to those who move to another place to take jobs or training mandated by the Employment Security Office.

2.1 Conditions for receipt

Must be insured for 180 days during 18 months before leaving job and still being unemployed despite having will and capacity to work (those who voluntarily leave job and those who are dismissed due to their own faults are not entitled to unemployment benefits) and must make engage in active job-search activities.

2.1.1 Employment conditions

See the contribution conditions (section 2.1.2).

2.1.2 Contribution conditions

Must be insured for 180 days during 18 months before leaving job

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The daily basic allowance is 50 percent of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The minimum benefit is 90 percent of the minimum wage; the maximum monthly benefit is KRW 1,200,000 (KRW 40,000 per one-day). The daily minimum benefit is KRW 37,512

² Jobs that guarantee more than 6 months of continuous employment. Number of working hours doesn't matter.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to the Employment Security Office. If the income earned divided by the number of allowance days to which the beneficiary is entitled exceeds daily job-seeking allowance, such days' allowance will be deducted from the total job-seeking allowance the recipient is originally entitled to.

The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the Employment Insurance System (EIS). The same applies if the beneficiary works 60 hours or more per month.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment benefits are not taxed, in accordance with Article 12 of the Income Tax Law.

2.4 *Benefit duration and waiting periods*

The maximum duration of payment of unemployment benefits ranges between three and eight months, depending on the age of the recipient at the time of job loss and the period of contribution to the EIS. It is shown below in days of benefit:

Age (years)	Periods of contribution to the EIS (days)				
	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 and the disabled	90	150	180	210	240

*There is a 7 day waiting period.

2.5 *Treatment of particular groups*

Disabled persons, regardless of their age, are entitled to the same number of days of benefits as those over 50 years of age.

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable*

3. Unemployment assistance

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance (National Basic Livelihood Security)

Until 2000, the Korean government provided limited protection mainly for those who are unable to work due to age or disabilities under the previous Livelihood Protection System. However, the Korean financial crisis in 1997 and following structural reforms caused rapid increase in the number of the poor and unemployed, which required urgent expansion of the social safety net. To remedy this situation in a fundamental way, the government enacted the National Basic Livelihood Security (NBLS) Act in September 1999, and fully implemented the system in October 2000.

The NBLS has changed the paradigm of policies to fight against poverty. The system emphasises social responsibility for poverty and has strengthened the right of the people in the low-income bracket to receive public assistance. All the people who live under the poverty line are provided financial benefit regardless of their working ability.

At the same time, the system provides well-organised self-support services so that recipients who are able to work can free themselves from poverty. The government provides self-support programmes for those in the lower-income bracket who are considered and judged to have a degree of ability to work.

- The base unit for verifying whether qualification for this system is satisfied is individual household, and depending on size of the household members, the payment rate applies differently.
- Also, for those aged 18 to 64 with work capability, the livelihood benefits is provided on condition of participation in the self-help work program, and by verifying whether they carry out conditions for receipt of the benefits, all or part of the benefits are suspended.
- Regarding means-test, for households consisting of only those without work capacity such as elderly, severely disabled, etc. a special rule exempting property from calculation of income is applied.

However, NBLS is criticised for discouraging work among the recipients and leaving many low income population outside of its protection due to its strict eligibility criteria. A major revision to the existing system, so called “customized NBLS,” is expected in July 2015.

4.1 Conditions for receipt

Eligibility of NBLS benefits is based on recognized income, which is a combination of assessed income and converted property income. The recognized income of a recipient’s household should be less than the Minimum Cost of Living (MCL) per household.

2014 Minimum Cost of Living*

Size of household (persons)	1	2	3	4	5	6
Minimum Cost of Living (thousand KRW)	603	1027	1329	1631	1933	2234

* The Minister of Health and Welfare declares the level of MCL every year.

Firstly, the Minimum Cost of Living (MCL) is annually determined by the Central Living Assistance Committee, a committee appointed and led by the Minister of Health and Welfare to set up guidelines for overall matters of the National Basic Livelihood Security.

Under the previous Livelihood Protection System, recipients should meet both income and property criteria, while the application of the dual criteria often led to blind spots in protection of the needy. In order to address this problem, the government has adopted unified criteria where property value is converted into a

monetary amount and added to the income amount. Specifically, properties are divided into four categories- general, housing, financial, and vehicles-and the conversion rate* is applied to each type of property, from which the total value of property is calculated. Debts are then subtracted and also the value of essential properties considered necessary to maintain everyday life of the recipient. These combined income criteria are designed to enhance rationality and equity in the provision of NBLS benefits.

* Conversion rate is determined by the Ministry of Health and Welfare, considering interest rate, inflation rate, and the growth rate of real estate and housing prices.

The second eligibility criterion is the “lack of supporters.”

This reflects the deep-rooted sense of family support obligation for other family members in Korea. Parents have the obligation to support their needy children (and their spouses), and vice versa (hereafter, “legal supporter”). Obligation as a “legal supporter” is exempted and the government provides benefits when his/her income is less than 130 percent of the total of both his/her and the applicant/recipient’s MCL and at the same time, his/her converted property value is less than 42 percent of the total of both his/her and the applicant/recipient’s MCL. The assistance agency, however, can provide assistance benefit in advance for those whose legal supporters refuse to support, and afterwards make those legal supporters pay the cost. The figure (income criteria of the total income of recipient and her legal supporter) is 185% for the elderly, disabled, one parent recipients as well as recipients with rare and incurable diseases, or severe diseases.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Assistance is given in the form of the total of seven benefits such as cost of living, housing, medical care, educational, childbirth, funeral and self-support benefits. The NBLS Act stipulates that the recipient’s total household income should exceed the minimum cost of living (MCL), which is set to guarantee the minimum for healthy and civilized living. If the recipient receives any supports under other programmes as well, they are deducted from the total amount of assistance under the NBLS system. Actually, the total amount of assistance under the NBLS system equals the difference between the minimum cost of living and the recognized income of the household including other supports under different programmes. About 80% of MCL is provided in cash.

**Monthly cash benefit¹ (cost of living and housing cost) levels per household,
under the NBLS in 2014**

Size of household (persons)	1 person	2 persons	3 persons	4 persons	5 persons	6 persons
Monthly benefit (thousand KRW)	488	831	1075	1319	1563	1807

1. In-kind benefits such as medical and educational aid, etc. are also provided separately in case those benefits are needed by the beneficiaries.

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

The costs generated due to characteristics of a household (such as ones composed of persons with disabilities, one-parent family, patients who require a long term medical treatment) is deducted from the earned income which would otherwise lower the level of the total amount of assistance.

Thirty percent of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students, the elderly and all recipients taking part in the Self-support labour program is deducted from the earned income to encourage work among the recipients.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration and waiting periods*

Benefit can be applied for any time without a waiting period. And it is paid out immediately if the applicant meets the income and legal supporter standards.

There is no age and duration limit in receiving benefits. Benefits continue as long as he/she meets the income and legal supporter standards.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

4.5.2 *Older workers*

The Korean government pays **200,000KRW** per month for single-person (aged above 65) households under the Basic Pension and **320,000 KRW** for two-person households.

4.5.3 *Others if applicable (disability allowances)*

Severe Disability Allowance which used to be provided for persons with severe disabilities has been replaced by the Disability Pension since July 2010. Unlike Disability Allowance, the Disability Pension is governed by the Disability Pension Act, and the pension amount is adjusted upward annually by reflecting wage increases.

Persons aged 18 or over with severe disabilities (1st, 2nd, and 3rd degree disability with other disability) receive the Disability Pension worth 96,800 to 176,800 KRW per month.

Those who are aged 18 or over with relatively less severe disabilities (3rd to 6th degree) receive Disability Allowance amounting to 30,000 KRW per month while those under 18 with mild 3rd to 6th degree or severe (1st to 3th degree disability with other disability) disabilities are given 100,000 to 200,000 KRW worth of Disability Allowance.

5. Housing benefits for rented accommodation

5.1 Conditions for receipt

Housing assistance was newly introduced in **the NBLS** to support residential stability in consideration of the fact that housing expenditure takes up a considerable part of living expenses, especially in the low-income class. It is provided in cash covering housing rent and the maintenance/repair expenses. In-kind benefits in the form of maintenance/repair services can be provided from 2001, when it is judged to be necessary by the assistance agency.

5.2 Calculation of benefit amount

5.2.1 Total benefit calculation

Housing benefits account for 22.032% of the total cash benefits.

Monthly housing benefit levels per household, under the NBLS in 2014

Size of household (persons)	1	2	3	4	5	6
Housing assistance (thousand KRW)	108	183	237	291	344	398

5.2.2 Income and earnings disregards

The same as above contents in section 4.2.2

5.2.3 Costs eligible for housing benefits

5.3 Tax treatment of benefit and interaction with other benefits

Wage and salary income earners may deduct the expenses from gross income for the saving or payment for housing during the year concerned: full amount paid up to 10 million won for the interest of long-term mortgage loans plus 40 percent of the amount repaid of the loan for leasing a house or the amount contributed to a savings account for housing by a taxpayer who does not own a house or owns only one house that is smaller than 85square **meters** in size whose government-evaluated price is 300 million won or less.

Housing benefits under the NBLS is provided in cash for rent and maintenance for their housing security. There is no special tax treatment of the cash benefit. Housing benefits are offered regardless of other social welfare benefits. However, it is ensured that in-kind benefits like housing repair are not concentrated to certain people by imposing a limit on the interval.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. *Family benefits*

6.1 *Conditions for receipt*

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

In **2014**, monthly child-care fees differ by children's age according to a government subsidy chart; **394,000** won for less than 1 year old, **347,000** won for 1 year old, **286,000** won for 2 years old, **220,000** won for 3-5 year old per month.

Average child-care fees paid by parents are affected by such aspects as the child's age and the type of facilities. Types of childcare facilities are divided into those supported by the government (state-run, public, corporate childcare facilities) and not supported by the government (private childcare facilities). The government supports facilities by providing subsidies for operating the facility such as labor costs. This makes child-care fees at government supported facilities cheaper than unsupported facilities. For 5 year-olds, child-care fees are 220,000 won for government-supported facilities, and 263,000 won for unsupported facilities in Seoul. **As of December 2014, children using government supported child-care facilities accounted for 21.6%** of all children using child-care facilities. Child-care fees are not a huge burden for parents working 40 hours a week.

Cost items for childcare facilities include

1. labor cost,
2. meals and snacks for the children,
3. books and teaching tool,
4. management and operations costs.

Tax deduction for child-care fees includes child-care fee deduction and education fee deduction for preschool babies, infants, and kindergarten children.

Education fee deduction is a special deduction for children using child-care facilities or kindergartens up to **3,000,000** won per year.

Child-care fees are taken into consideration when calculating minimum living expenses.

7.2 Child-care benefits for formal centre-based care

As well as the support for formal centre based care described below, there is also an allowance for children who do not use childcare centers as described in section 7.3.

The Korean government has broadened eligibility of childcare benefits every year to ease the burden of parents using child care facilities.

1. Support for 0 to 2-year-olds

The childcare benefits are provided for 0-2 year olds who attend child care facilities and some of primary school students using after school programs. The government has provided support to all households with 0 to 2 year-olds regardless of household income levels since 2013.

In 2014, the standard amount of support was set at 394,000 won for children less than one year of age, 347,000 won for one year olds, 286,000 won for 2 year olds, 220,000 won for 3-5 year olds.

2. Support for 3-5 year olds

In the past, the childcare benefits for 3-5 year olds were provided for those using childcare facilities and kindergartens. However, since March 2012, with the introduction of the Nuri Course, recipients have expanded to include all households with 5-year olds regardless of household income level. In March 2013, Nuri Course was expanded to include 3-4 year olds without regard to their household income level. The total monthly benefits provided to an eligible child amount to 220,000 won. In addition, children who delay primary school entrance can receive the benefits for another one year.

3. Support for children with disabilities

The childcare benefits for children aged 5 or less with disabled welfare cards regardless of household income level and the degree of disabilities. Exceptional support is also provided to disabled children aged 12 or less who are not able to enroll in a regular primary school or a special school for reasons including diseases (limited to those who submitted the enrollment delay document) and to children aged 5 or less who have not been issued a disabled welfare card but have submitted a disabled medical certificate.

To enhance the quality of child care services for children with disabilities, the government provides a subsidy of 394,000 won per month to facilities with teachers dedicated to the care of disabled children where teacher to child ratio is 1:3. In the case of using other facilities, the child is provided with the ceiling amount decided by the city's mayor or governor of the province.

7.2.1 Conditions for receipt

Childcare benefits are provided for 0-5 year olds without regard to income levels.

In December 2014, childcare benefits were provided to 1,482,767 children or 99% of the 1,496,671 children using the childcare centers.

7.2.2 Calculation of benefits amount

7.2.2.1 Calculation of gross benefit

Age of child (years)	Size of subsidy by age of child					
	Age<1	1<=Age<2	2<=Age<3	3<=Age<4	4<=Age	Age<=5
Size of monthly subsidy in units of 10,000 won	39.4	34.7	28.6	22.2	22.2	22.2

7.2.2.2 Income and earnings disregards

Tax exempted miscellaneous incomes are not taken into consideration when calculating recognized income.

Income criteria for a dual income household have been relieved for child care fee support. Until 2010 in calculating recognized income for the purpose of child care fee support, 25% of income of which was lower of the two were deducted. From 2011, 25% of the combined income of the couple was discounted, increasing their chances to qualify for the support.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Child-care fee supported by the government is not taxed.

7.2.4 *Treatment of particular groups*

Recipients under the Basic Livelihood Security Act, children of low income single parent families and children with disabled parents are given priorities in using government supported childcare facilities.

Legal low-income bracket children are provided with childcare subsidy without a separate income assessment.

The criteria of low-income bracket children are: children of the recipient under Article 5 of the Basic Livelihood Security Act; children of single parent families that are selected to be protected under the Single Parent Family Welfare Act; children between 3 and 4 who are living in child welfare facilities under the Child Welfare Act; children accompanied by women admitted to facilities for female victims of violence (domestic, sexual), and prostitution victims; and children accompanied by women admitted to the temporary protection facilities for mother and child.

7.3 *Childcare allowance for children not using childcare centers*

To reduce burden of parents who do not enroll their children in to childcare centers and to enhance fairness in the provision of the subsidies, the Korean government introduced the child care allowance for non-users of childcare centers in July 2009. In 2010, children aged less than 24 months old of marginally poor households or households with less income were given 100,000 won per month. In 2011, the eligibility was broadened to children aged less than 36 months old and the amount was increased to 100,000 to 200,000 won depending on the child's age, with children aged 24 to 36 months receiving 100,000 won. In March 2013, the government provided 100,000 won to 200,000 won per month regardless of household income levels for all children under 84 months not using childcare centers; 200,000 won for children under 12 months, 150,000 won for those aged 13 to 23 months, and 100,000 won for those aged 24 to 84 months

8. Employment-conditional benefits

	8.1. Conditions for receipt	8.2. Calculation of benefit amount 8.2.1. Calculation of gross benefit	8.3. Tax treatment of benefit and interaction with other benefits	8.4. Benefit duration	8.5. Treatment of particular group 8.5.1 Young persons 8.5.2 Older workers 8.5.3 others if applicable
Benefits for successful job candidates	Targeting people low-income families who participate in the 1 employment success package program and employed as workers eligible for employment insurance coverage in a position requiring a 30-hour or longer work week pursuant to the Labor Standards Act	8.2.1. KRW one million in total	Not to be provided in conjunction with similar allowances including the employment promotion benefits	KRW 200,000 to be provided if the worker completes one month in the initial workplace in the first round KRW 300,000 to be provided if the worker completes three months in the initial workplace in the second round KRW 500,000 to be provided if the worker completes six months in the initial workplace in the third round	n.a
Benefits for early re-employment	Targeting workers eligible for job seekers' allowances who became re-employed with a half or more left until the end of benefit duration from the day prior to the date of re-employment after the completion of their waiting period and who have been employed for twelve months or longer after re-	8.2.1. Amount equivalent to the daily job seekers' allowances of the qualified worker multiplied by one half of the number of unpaid days	Tax exemption granted as part of unemployment allowances	The request for payments should be filed within three years from the date marking the twelfth month after the day of re-employment or business startup (to be paid in a single payment).	In the case of those aged 55 or older at the time of re-employment or the disabled, two thirds of the number of unpaid days should be multiplied.

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	employment or have run their own business for twelve months or longer				
Support for job sharing	Targeting employers introducing or expanding a shift work scheme, reducing actual hours of work, introducing a job rotation scheme, etc. and hiring jobless people for the jobs newly created as a result, thereby increasing the number of employees.	KRW 7.2 million ~ 10.8 million annually for each additionally hired person. * KRW 7.2 million annually per person for non-manufacturing companies, KRW 9 million annually per person for large-scale manufacturing companies, and KRW 10.8 million annually per person for small and mid-sized manufacturing companies. * paid every three months		One year (Up to two years for high-priority companies in the manufacturing industry, which have introduced a shift work scheme)	
Subsidy for hiring professional workers	Targeting the employers of high-priority companies in the manufacturing or knowledge-based service industries who hire professionals, such as technicians and product developers or employers who hire professionals with support from a company other than high-priority companies	KRW 10.8 million per year for each hired professional worker (paid every three months)		One year	
Support fund for sustaining employment	Targeting employers who inevitably have to adjust employment due to business problems such as a fall in output but retain employment by taking such measures as temporary layoff, leave of absence, training and personnel reshuffling	-Two thirds of layoff and leave of absence benefits (one half for large corporations) paid to the worker by the employer during employment retention measures - Three quarters of normal salary (two thirds for large corporations) and training expenses if training is conducted - KRW 200,000 per person in the case of unpaid leave of absence. Three quarters of normal salary(two thirds for large corporations) in the case of personnel reshuffling.	Ceiling amount set at KRW 40,000 per person	No more than 180 days including days taken off due to layoff, leave of absence and training (one year for relocated workers)	
Subsidy for promoting	Targeting employers who hire	KRW 6 - 9 million is paid for each newly hired worker over the course		One year	

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hiring	jobless people registered as job seekers with an employment center, etc., after completing and employment service programme(employment success package, etc.) designated by the Minister of Employment and Labor Targeting employers who hire people with severe disabilities, female household heads and island residents having difficulties in finding works, all of whom have been out of work for one month or longer since their registration as job seekers.	of one year * Payments are made every three months.			
Subsidy for the salary peak system	Targeting workers aged 50 or older who have worked for 18 months or longer in a workplace implementing the salary peak system under the agreement between labor and management and whose salary was cut by the standard rate (10~30%) or more.	Amount equivalent to the difference between 70~90% of the peak salary and the salary for the current year but not exceeding KRW 5 – 8.4 million per year (or KRW 1.25 – 2.1 million per quarter). The combined amount of salary and benefits must not surpass KRW 68.7 million per year (or KRW 17.18 million per quarter) at the same time. ※Those whose annual salary reaches KRW 68.7 million or higher after the cut are excluded.		Up to ten years	
Support fund for ensuring continued employment during pregnancy and after childbirth	Targeting employers who have concluded an employment contract effective for one year or longer with the female worker currently pregnant or on maternity leave (including miscarriage and	The employer who has concluded a continued employment contract with a specified term shall be funded KRW 400,000 per month for six months. The employer who has concluded a continued employment contract with no specified term shall be funded KRW 300,000 per month for the initial six months and KRW 600,000 per month for the following		Up to one year	

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	stillbirth) or on childcare leave (limited to children aged younger than fifteen months) whose contract or subcontract has expired - Preference given to the employer who concluded a continued employment contract with no specified term	six months.															
Earned Income Tax Credit(EITC)	1. Must have one or more dependent children under age 18; 2. Must have total annual income* of less than 17 million won; * interest, dividend and business income etc. included 3. Value of all property* held must be less than 100 million won; * e.g. land, building, bank deposit, shares, bonds, etc.	Eligible household is granted the EITC of up to 1,200,000 won per year. <table><tr><td>Annual earned income from employment (X)</td><td>Stage</td><td>Credit</td></tr><tr><td>0-8 million won</td><td>Phase-in</td><td>15% × X</td></tr><tr><td>8 million won-12 million won</td><td>Plateau</td><td>1,200,000 won</td></tr><tr><td>12 million won-17 million won</td><td>Phase-out</td><td>24% × (17 million won-X)</td></tr></table> Cf.) The EITC was paid around 591,000 households and cost nearly 450 billion won in 2009.	Annual earned income from employment (X)	Stage	Credit	0-8 million won	Phase-in	15% × X	8 million won-12 million won	Plateau	1,200,000 won	12 million won-17 million won	Phase-out	24% × (17 million won-X)			
Annual earned income from employment (X)	Stage	Credit															
0-8 million won	Phase-in	15% × X															
8 million won-12 million won	Plateau	1,200,000 won															
12 million won-17 million won	Phase-out	24% × (17 million won-X)															
Tax credit for hiring new employees	SMEs that hire more workers compared to the previous year	3 million won tax credit for each new employee.		Effective from March 1, 2010 to June 30, 2011													
Deduction for maintaining the number of employees	SMEs that maintain the same number of workers compared to the previous year	(wages per employee of the prior year - wages per employee of the current year) × the number of employees of the current year × 50%		Effective by end of 2010.													

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8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

(Employment-conditional benefits) Hope Growing Account, introduced in 2010, is an asset-building support program for low income families by providing them with labor incentives and helping them save money to become self-sufficient.

9. Lone-parent benefits

Lone-parents with combined value of income and property below the levels shown in the table are eligible to the benefits below: (for 2013)

- Child-rearing support subsidy: KRW 70,000 a month for children aged less than 12
- Additional child-rearing support subsidy: KRW 50,000 a month for children aged less than 5, and are parented by grandparents or unmarried sing-parent over 25 years old
- Child education support subsidy (school supplies): KRW 50,000 a year for children who are enrolled in middle school or high school
- Living cost assistance subsidy: KRW 50,000 a month for families living in lone-parent facilities
- Education support subsidy: Entrance and enrollment fees for high school students who are from lone-parent family (executed by the Ministry of Education from 2013)

9.1 Conditions for receipt

Recipients must qualify the following conditions in order to be recognized as eligible lone-parent household

- **(Household):** household consisting of head of household mother (grandmother) or father (grandfather) and children aged less than 18 (in case of school children, aged less than 22)
- **(Income Value):** children whose mother (grandmother) or father (grandfather) with its income less than 130% of the basic livelihood costs – if not, the household is not eligible for ‘lone-parent household’ support subsidies

Exception: children whose mother or father is aged less than 24 is considered as ‘Youth Lone-Parent’ household and its income threshold is less than 150% of the basic livelihood costs

2013 Income Value Threshold for Lone-Parent Support Subsidy Eligibility

(In KRW per month)

Number of family members		2	3	4	5	6
Lone-Parent or Grandparent Headed Household	(130% of the NBLS)	1,335,642	1,727,853	2,120,066	2,512,279	2,904,490
Youth Lone-Parent Headed Household	(150% of the NBLS)	1,541,126	1,993,677	2,446,230	2,898,783	3,351,335

9.5.1 Young Persons

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Household consisting of head of household mother or father who is aged less than 24 tends to have problems such as poverty, burden on childcare, living and housework that household consisting of adult head of household mother or father has, too. However, household consisting of head of household mother or father who is aged less than 24 usually faces difficult situations due to lack of job training and interruption on education. Thus, programme for this particular group is being offered to provide financial and educational supports and to create environment for child-rearing.

Especially, for the young lone-parents whose education has been interrupted by unexpected pregnancy and childbirth, child-rearing and education support have been strengthened through various subsidies including school qualification exam (up to KRW 1,540,000 per year) and child-rearing (KRW 150,000 per month).

**Details of support types for ‘Youth Lone-Parent Household’:
Households headed by a mother or a father who is aged less than 24**

Subsidy Type	Child-rearing	School Qualification Exam	High School Education	Financial Independence Boost	Asset Building Savings Account
Amount (KRW)	150,000 / month	Less than 1,540,000 / year	Actual costs	100,000 / month	50,000-200,000 / month
Household Income Threshold	Less than 150% of the NBLS (Except recipients of the NBLSB)	Less than 150% of the NBLS	Less than 150% of the NBLS (Except recipients of the NBLSB)	Less than 100% of the NBLS (Recipients of the NBLSB)	- Less than 50,000: recipients of the NBLSB - Less than 200,000: less than 150% of the NBLS

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

Each individual is taxed on his/her own income.

Non-taxable wage income includes the:

- national pension, medical insurance, unemployment insurance and work injury insurance that are borne by employer
- overtime payment to productive workers: up to KRW 2 400 000 of overwork payment of productive workers in manufacturing and mining sectors whose monthly wage is less than KRW 1 500 000 and whose yearly wage is less than 25 000 000.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- Employment Income Deduction: the following deduction from gross income is allowed for wage and salary income earners:

Salary	Deduction
Up to KRW 5 000 000	70%
KRW 5 000 000 to KRW 15 000 000	KRW 3 500 000 plus 40% of the salary over KRW 5 000 000
KRW 15 000 000 to KRW 45 000 000	KRW 7 500 000 plus 15% of the salary over KRW 15 000 000
KRW 45 000 000 to KRW 100 000 000	KRW 12 000 000 plus 5% of the salary over KRW 45 000 000
Over KRW 100 000 000	KRW 14 750 000 plus 2% of the salary over KRW 100 000 000

- Tax allowances for part-time workers are 100,000KRW per day.
- *Basic allowance*: a taxpayer can deduct KRW 1 500 000 from his/her income for each person who meets one of following conditions: (but not applied to part-time workers)
 - taxpayer him/herself
 - taxpayer's spouse whose taxable income is under KRW 1 000 000;
 - taxpayer's (including the spouse's) dependents (parents, siblings, children) within the same household whose income after accounting for the employment income deduction is under KRW 1 000 000 and whose ages are as follows:
 1. parents: aged 60 years or older
 2. brother/sister: aged 60 years or older or aged 20 years or under
 3. children: aged 20 years or under (for the purposes of this Report, where there are two wage earners in the household, it is assumed that the principal wage earner will always claim this allowance).
- *Additional allowance*: a taxpayer can deduct KRW 1 000 000 (500 000 in the case of (c), 2 000 000 in the case of (b))) from his/her gross income when the taxpayer or his/her dependents fall into the following categories (for this report, only cases (c) would be applicable):
 1. a person aged 70 years or older (a)
 2. a handicapped person (b)

3. a female wage earner who is the head of a household with dependents (but without spouse) or a female wage earner with spouse (in the case of this report, any female wage earner would be entitled to this allowance)³(c)
4. a single parent with lineal descendants or adopted children who are eligible for basic exemption* (d)
5. *Overlapping deductions for (c) and (d) are not allowed. If a resident belongs to both of the classes, he/she shall be deemed to belong to class (d) only.

Compulsory social security contribution:

- *National pension deduction:* Employees can deduct 100 percent of their contribution of National Pension
- *Medical insurance premium and Unemployment insurance premium deduction:* employees can deduct 100% of their contribution to authorities.

Lump-sum tax relief:

- Wage and salary income earners may deduct from gross income the expenses for several items paid during the tax year such as insurance premiums (include Medical insurance premium and Unemployment insurance premium), medical expenses, educational expenses, saving/payments for housing, charities and credit card purchases (all of them up to specific limits).
- Any taxpayer whose total deductible expense for the categories mentioned above is not over KRW 120 000 may deduct KRW 120 000 from their gross income as a lump-sum tax relief.

10.1.1.2 Standard tax credits

- *Tax credits:* wage and salary income earners obtain the following tax credit:

Calculated tax	Amount of tax credit
Up to KRW 500 000	55% of calculated tax
Over KRW 500 000	KRW 275 000 plus 30% of the calculated tax over KRW 500 000 (maximum credit: see table below)

Total wage and salary income	Ceiling on credit amount
Not more than 55 million won	660,000 won
Not more than 70 million won	The greater of 630,000 won and 660,000 won – [(total wage and salary income – 55 million won) × 50%]
Exceeding 70 million won	The greater of 500,000 won and 630,000 won – [(total wage and salary income – 70 million won) × 50%]

³ This extra allowance was introduced to promote female work-force participation. The presence of this allowance necessitates further specifying the demographic make-up of each family type considered within this report. To that end, for Korea, it is assumed that with the exception of the single parent with two children, the principal wage earner is a male.

10.1.2.2 Main non-standard tax reliefs

Wage and salary income earners may deduct from gross income the expenses for the following items during the tax year:

- *Insurance premiums (a)*: the general insurance premium up to KRW 1 000 000, as well as the Medical insurance premium and the Unemployment insurance premium can be entirely (100 percent) deducted from taxable income.
- *Medical expenses (b)*: up to KRW 7 000 000. Full deductions are allowed for medical expenses exceeding 3 percent of taxable income for the taxpayer himself, taxpayer's dependents who are aged 65 years or older and handicapped persons.
- *Educational expenses (c)*: tuition fees for pre-school, elementary, middle school and college (but the graduate school fee deduction is allowed only for the taxpayer himself), either for the taxpayer himself or his/her dependents (including the taxpayer's spouse, children, and siblings), can be deducted from gross income. The deductible amount is 100 percent for the taxpayer himself. For the taxpayer's dependents, the maximum deductions are as follows:
 - For pre-school: up to KRW 3 000 000 per child;
 - For elementary, middle and high school: up to KRW 3 000 000 per student;
 - For college/university: up to KRW 9 000 000 per student.
- *Saving/Payment for housing (d)*: The full amount of the interest paid on a long-term mortgage loan for buying a house which is not more than 85m² in area and 400 million won in value; 40 percent of the amount contributed to a savings account for housing by a non-homeowner; 40 percent of the monthly rent or the principal and interest of a loan for leasing a house paid or repaid by a non-homeowner. The sum of the deductible amounts above shall not exceed 15 million won.
- *Charities (e)*:
 - donations to a government body, donations for national defence, natural disaster, and certain charitable associations: total amount up to gross income is deductible;
 - donations to public welfare or religious associations: up to fifteen percent of gross income.
- *Credit card purchases (f)*: Employees may deduct 15 percent of their credit card (30 percent of their debit card or prepaid card) purchases that exceed 25 percent of their total income to a maximum of the lesser of KRW 3 000 000 or 20 percent of their total income.
- Where a resident with taxable income has children (including adoptees and children under foster care) who are eligible for the basic deduction, he/she receives annual tax credit of 150,000 won for having a child, 300,000 won for having two children, and 300,000 won plus 200,000 won per an excess child over two in case of having more than three children.
- *Lump-sum tax relief*: Any taxpayer whose total deductible expense for (a), (b), (c), (d) and (e) is not over KRW 1 000 000 may deduct KRW 1 000 000 from gross income as a lump-sum tax relief.

10.1.2 Income tax schedule (central government income tax)

Tax schedule

Over (KRW)	Not more than (KRW)	Marginal tax rate (%)
0	12 000 000	6
12 000 000	46 000 000	15
46 000 000	88 000 000	24
88 000 000	150 000 000	35
150 000 000		38

10.1.3 State and local income taxes

10.1.3.1. Tax base

The local income tax base is the income tax paid to the central government.

10.1.3.2. Tax rate

A uniform rate of 10 percent is applied. However, the local government can adjust the rate between the lower limit of 5 percent and the upper limit of 15 percent.

10.1.3.3. Tax rate (selected for this study)

A country-wide rate of 10 percent is used in this Report.

10.2 Treatment of family income

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

10.3.1.1 National pension

The National pension contribution rate is 4.5 percent of the standardised average monthly wage income as of 2013.

* The scope of the standardised average monthly wage income is from KRW 260 000 to KRW 4 080 000 as of 1 July, 2014.

10.3.1.2 Medical insurance

The Medical insurance premium, which has a rate of 3.1911725 percent (Health insurance: 2.995%, Long term care insurance: 6.55% of Health insurance premium rate), is levied on average monthly wage income as of 1 January 2014.

* The scope of the average monthly wage income is from KRW 280,000 to KRW 78,100,000.

10.3.1.3 Unemployment insurance

0.65 percent of gross income.

10.3.1.4 Work injury insurance

Employers only.

10.3.2 Contributions payable by employers

10.3.2.1 National pension

The national pension contribution rate is 4.5 percent of the standardised average monthly wage income as of 2014.

The scope of the standardised average monthly wage income is from KRW 260 000 to KRW 4 080 000 as of 1 July, 2014.

If the average monthly wage income of a person is less than KRW 260 000, the average monthly wage income of the person is regarded as KRW 260 000 and the rate (0.045) is applied. If the average monthly wage income of a person is more than KRW 4 080 000, the average monthly wage income of the person is regarded as KRW 4 080 000 and the rate (0.045) is applied; so the maximum of the national pension contribution per year is KRW 2 203 200 (=KRW 4 080 000 x 0.045 x 12 months).

10.3.2.2 Medical insurance

The Medical insurance premium, which has a rate of 3.1911725 percent (Health insurance: 2.945%, Long term care insurance: 6.55% of Health insurance premium rate), is levied on average monthly wage income as of 1 January, 2013.

The scope of the average monthly wage income is from KRW 280 000 to KRW 78 100 000.

10.3.2.2 Unemployment insurance

- the insurance premium is between 0.9 percent and 1.5 percent of total wage;
- the insurance premium selected for this study is 0.9 percent.

10.3.2.3 Work injury insurance

- the insurance premium consists of an industry-specific rate which is set by the Ministry of Employment and Labour multiplied by total wage
- the average rate of all industries (selected for this study) is 1.70 percent.

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 Special benefit rules for part-time work

11.2 Special tax and social security contribution rules for part-time work

12. Policy Development

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

○ Increase of health insurance reimbursement for rare and incurable diseases

- Relieve the medical expense burden of health insurance beneficiaries by adding 25 more beds dedicated for patients with rare and incurable diseases listed under health insurance reimbursement, strengthening the health coverage.

*Notification No.2014-8 of the Ministry of Health and Welfare announced in Jan. 21, 2014 and implemented since Feb.01, 2014.

○ Introduction of the Basic Pension (Since July 1, 2014)

- Provided to elderly over 65 in lower 70% income brackets to ensure a regular and stable income security
- Provided to those whose recognized income limits are less than the government set limit (870,000won for a single-person household and 1.392million won for a two-person household as of 2014)
- Existing beneficiaries of BOAP (Basic Old-Age Pension) automatically become the Basic Pension beneficiaries. However, benefits can be limited 1) if the beneficiary's income exceeds the government's set limit or 2) if the beneficiary possesses an expensive automobile, membership (golf, condominium, yacht), or resides in an expensive house under the name of his/her son/daughter.

○ Coverage expansion for disability pension beneficiaries and increase of basic benefit amount (Since July 1, 2014)

- (Coverage expansion) 63% of persons with severe disabilities (for single-person household with recognized income limits of 680,000won or less) → 70% (870,000won or less)*

- (Increase of basic benefit amount) 99,100won/month on 200,000won/month

Table. Basic benefit amount for Disability Pension by types of household

	Mar. 2014 - Jun. 2014	Since July 2014
One beneficiary in a single-person/two-person household	99,100won	200,000won
Two beneficiaries in a two-person household	158,600won	320,000won

12.2 ***Future policy changes announced since 1st July 2014***

○ Revision of the National Basic Livelihood Security System (NBLSS) (passed the National Assembly in Dec. 30th 2014)

- Revision into a customized benefit system, resolving NBLSS's all or nothing issue* and providing incentives to become self-sufficient by working.
- * A NBLSS recipient is entitled to various benefits, which stops all together once the recipient starts earning more than the Minimum Living Cost.
- Living wage, housing benefit, education benefit, and medical benefit are commensurate with relative poverty based on median income
- Reducing blind spot by raising the recognized income criteria* of obligated supporters and the criteria for obligated supporting level**

* 2.9million won in a four-person household (4.13million won for vulnerable groups such as the elderly and persons with disabilities) → 4.64million won (for a household of one beneficiary and four-person household of an obligated supporter as of 2014)

** 185% of the minimum living cost of an obligated supporter (2.12million won for a four-person household) → median income level (4.04million won)

- However, education benefit is not subject to the recognized income of an obligated supporter
- The total number of beneficiaries is expected to reach 2.1million with the revision of the NBLSS (1.34million beneficiaries as of Nov. 2014)

○ A 2.3% increase of the minimum living cost in 2015 compared to 2014 (announced in Aug. 29, 2014, implementation in Jan. 1st 2015)

Table. Minimum Living Cost in 2014 and 2015 (unit: KRW)

Year	Single-person household	Family of 2	Family of 3	Family of 4	Family of 5	Family of 6
2014	603,403	1,027,417	1,329,118	1,630,820	1,932,522	2,234,223
2015	617,281	1,051,048	1,359,688	1,668,329	1,976,970	2,285,610

Table. Cash benefit criteria in 2015 (unit: KRW)

Year	Single-person household	Family of 2	Family of 3	Family of 4	Family of 5	Family of 6
2014	488,063	831,026	1,075,058	1,319,089	1,563,120	1,807,152
2015	499,288	850,140	1,099,784	1,349,428	1,599,072	1,848,716

○ Introduction of Hope Growing account II (asset-building support program) that is expanded to cover lower income families (announced in July 1st 2014, implemented since July 14th 2014)

- One on one matching fund by the government for lower income families (100,000 won monthly)

	Hope Growing account I	Hope Growing account II
Eligibility	NBLSS recipient families with more than one family member working (a total earning and business income of over 60% of the minimum living cost)	Lower income families with more than one family member working (① None NBLSS recipient household with income less than 120% of minimum cost of living, ② a total earning and business income more than 90% of minimum living cost)
Monthly individual saving amount (KRW)	100,000	100,000
Government subsidy (KRW)	Incentives for earnings (Monthly average of 270,000)	100,000 (support of one on one matching)
Condition	Under the condition of becoming self-sufficient (not having to receive the NBLSS benefits) within 3 years	Maintain the account for 3 years (submit documented proof of usage, complete mandatory education)
Benefits	(for 3 years) average accumulation of 13million won (for 3-person household) average accumulation of 1.3million won in 3 years	(for 3 years) average accumulation of 7.2million won

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.